
Answers

- 1 Consolidated statement of financial position of Arlo as at 30 September 20X8
[Note: all figures below in \$'000]

	\$'000
Assets	
Non-current assets	
Property, plant and equipment (\$820,000 + \$470,000 + \$12,000 (W1))	1,302,000
Goodwill (W2)	41,600
Investment in Gino (W6)	206,800
Investment in equity instruments	74,000
	<u>1,624,400</u>
Current assets	
Inventories (\$320,000 + \$170,000 – \$12,000 (W4) – \$3,000 (W4) – \$4,500 (W8))	470,500
Trade receivables (\$280,000 + \$140,000 – \$48,000)	372,000
Cash and cash equivalents (\$80,000 + \$60,000)	140,000
	<u>982,500</u>
Total assets	<u><u>2,606,900</u></u>
Equity and liabilities	
Equity attributable to equity holders of the parent	
Share capital (\$1 shares)	840,000
Retained earnings (W4)	402,400
Other components of equity (W5)	208,300
	<u>1,450,700</u>
Non-controlling interest (W3)	147,800
Total equity	<u>1,598,500</u>
Non-current liabilities	
Long-term borrowings (\$360,000 + \$50,000)	410,000
Deferred tax (\$80,000 + \$24,000 + \$2,400 (W1))	106,400
Total non-current liabilities	<u>516,400</u>
Current liabilities	
Trade and other payables (\$210,000 + \$140,000 – \$48,000)	302,000
Current tax payable (\$120,000 + \$70,000)	190,000
Total current liabilities	<u>492,000</u>
Total liabilities	<u>1,008,400</u>
Total equity and liabilities	<u><u>2,606,900</u></u>

Working 1 – Net assets table for Bianca

	1 October 20X5 \$'000	30 September 20X8 \$'000
Share capital	240,000	240,000
Retained earnings per financial statements of Bianca	160,000	250,000
Fair value adjustment to PPE (post-acquisition additional depreciation = \$48,000 x 3/4 years = \$36,000)	48,000	12,000
Deferred tax on fair value adjustment (20%)	(9,600)	(2,400)
Other components of equity	64,000	66,000
Net assets for the consolidation	<u>502,400</u>	<u>565,600</u>

Post-acquisition increase in net assets (\$565,600 – \$502,400) = \$63,200. \$2,000 (\$66,000 – \$64,000) of this relates to other components of equity and the balance of \$61,200 (\$63,200 – \$2,000) to retained earnings.

Working 2 – Goodwill on acquisition of Bianca

	\$'000
Cost of shares purchased	412,000
Non-controlling interest at date of acquisition	132,000
Net assets at date of acquisition (W1)	(502,400)
Goodwill on acquisition equals	<u>41,600</u>

Working 3 – Non-controlling interest in Bianca

	\$'000
At date of acquisition (W2)	132,000
25% of post-acquisition increase in net assets (\$63,200 (W1))	15,800
	<u>147,800</u>

Working 4 – Retained earnings

	\$'000
Arlo – per draft SOFP	360,000
Acquisition costs of investments in Bianca and Gino (\$8,000 + \$4,000)	(12,000)
75% of post-acquisition share of Bianca's profits (75% x \$61,200 (W1))	45,900
Unrealised profit on sales to Bianca (25/125 x \$60,000)	(12,000)
Share of profits of Gino (W6)	28,000
Administrative overheads incorrectly recognised in inventories	(3,000)
Write down of Arlo inventories to net realisable value (W8)	(4,500)
	<u>402,400</u>

Working 5 – Other components of equity

	\$'000
Arlo – per own SOFP	190,000
Bianca (75% x \$2,000 (W1))	1,500
Revaluation of Gino property (W7)	12,800
Increase in fair value of Arlo investment in Dino (\$74,000 – \$70,000)	4,000
	<u>208,300</u>

Working 6 – Investment in Gino

	\$'000
Cost	166,000
Share of post-acquisition profits (40% x \$70,000 (W7))	28,000
Share of property revaluation (40% x \$32,000)	12,800
	<u>206,800</u>

Working 7 – Post-acquisition profits of Gino

	\$'000
Increase in retained earnings since 1 October 20X6 (\$460,000 – \$380,000)	80,000
Unrealised profit on Arlo sales to Gino (\$50,000 x 25/125)	(10,000)
	<u>70,000</u>

Working 8 – Write down of inventories

	\$'000
Cost as per draft SOFP – excluding administrative overheads	48,000
Net realisable value (W9)	(43,500)
So write down equals	<u>4,500</u>

Working 9 – Net realisable value of inventories

	\$'000
Gross selling price	50,000
Selling costs (5%)	(2,500)
Modification costs	(4,000)
Net realisable value	<u>43,500</u>

2 (a) Attachment 1 to email

Property 1

Under the provisions of IAS 16 – *Property, Plant and Equipment* (PPE) – a particular class of PPE can be measured using either the cost model or the revaluation model. However, the same measurement basis should be applied to all assets in that class. Therefore, it is acceptable to measure property 1 under the revaluation model.

IAS 16 requires that when PPE is revalued, and a surplus is generated, that surplus should be recognised in other comprehensive income rather than in profit or loss. The only exception to this is where the revaluation surplus is eliminating a revaluation deficit which was previously recognised in profit or loss. This is not the case for property 1 as it is the first time it is being revalued.

The revaluation of property 1 will increase its carrying amount at 1 April 20X6 by \$8 million (\$28 million – \$20 million). As previously explained, this gain should not be recognised in the statement of profit or loss so the draft profit before tax should be reduced by \$8 million.

The revaluation of property 1 will increase its carrying amount but not its tax base. Therefore, under the provisions of IAS 12 – *Income Taxes* – this creates a taxable temporary difference on which deferred tax should be recognised.

In this case, the relevant deferred tax liability will be **\$1.6 million** (\$8 million x 20%). IAS 1 requires that all deferred tax liabilities be presented within **non-current liabilities**.

The increase in the deferred tax liability as a result of this revaluation will be taken to other comprehensive income so the net credit to other comprehensive income will be \$6.4 million (\$8 million – \$1.6 million).

\$6.4 million will be recognised in the equity section of the statement of financial position, probably described as a revaluation surplus or reserve.

Under the provisions of IAS 16, PPE which has a finite useful life should be depreciated over that useful life. In the case of a property, the buildings element has a finite useful life and depreciation should be charged.

The depreciation charge which will be appropriate for property 1 for the year ended 31 March 20X7 will be **\$800,000** (\$16 million x 1/20). This will be charged as **an expense in the statement of profit or loss** for the year ended 31 March 20X7.

The closing carrying amount of property 1 in the statement of financial position will be **\$27.2 million** (\$28 million – \$800,000). This will be presented as part of PPE under **non-current assets** in the statement of financial position.

The depreciation charge will reduce the carrying amount of property 1 but not its tax base. This is therefore a deductible temporary difference.

This will cause a reduction in the overall deferred tax liability of \$160,000 (\$800,000 x 20%) and will reduce the income tax charge in the statement of profit or loss for the year ended 31 March 20X7.

IAS 16 allows but does not require an annual transfer within equity from the revaluation surplus to retained earnings as a revalued asset is depreciated. This would be the difference between the original depreciation and the \$800,000 for the year to 31 March 20X7. This transfer is made net of related deferred tax.

Property 2

Property 2 would under the provisions of IAS 40 – *Investment Properties* – be regarded as an investment property because it is being used for short-term rental.

IAS 40 states that investment properties should not be subject to depreciation if the fair value model is being applied, so the finance director (FD) is correct in this respect.

IAS 40 requires that investment properties are revalued annually, with all gains or losses on revaluation recognised in profit or loss.

This means that the cumulative revaluation gains of \$4 million (\$14 million – \$10 million) which have been made from the date of purchase to 31 March 20X6 will have been recognised in profit or loss in previous periods.

Therefore, the revaluation loss of \$1 million (\$14 million – \$13 million) which has occurred in the current period should also be recognised in profit or loss in the year ended 31 March 20X7.

Property 2 should be presented in the non-current assets section of the statement of financial position at 31 March 20X7 at a carrying amount of \$13 million.

The write down of property 2 by \$1 million decreases its carrying amount but not its tax base. This creates a deductible temporary difference.

The deductible temporary difference will cause the deferred tax liability of Green to reduce by \$200,000 (\$1 million x 20%). \$200,000 will be credited to profit or loss as a reduction in the overall income tax expense.

Attachment 2 to email

The relevant IFRS Accounting Standard is IAS 38 – *Intangible Assets*. IAS 38 states that intangible assets can be separately purchased, purchased as part of a business combination, or internally developed. A research and development project is potentially an internally developed intangible asset.

IAS 38 states that research costs should be written off to profit or loss as incurred. Therefore the costs of \$3.4 million which were incurred in the research phase of the project (1 April 20X6 – 30 June 20X6) should not have been capitalised.

IAS 38 further states that development costs are only recognised as assets when there is a separately defined project whose technical feasibility and commercial viability have been reliably ascertained. This does not happen until 1 September 20X6, so the costs of \$3.2 million incurred in July and August 20X6 should not have been capitalised either.

The costs of \$4.8 million which were incurred in the period from 1 September 20X6 to 31 December 20X6 are eligible for capitalisation because they were incurred after the technical feasibility and commercial viability of method 3 have been reliably ascertained.

The capitalised development expenditure should be amortised over the five-year period starting on 1 January 20X7, since this is the period which is expected to benefit from method 3.

Therefore, the amortisation expense for the year ended 31 March 20X7 will be \$240,000 (\$4.8 million $\times$ 1/5 $\times$ 3/12). This will be charged to profit or loss.

The intangible asset will be presented as a non-current asset with a carrying amount of \$4.56 million (\$4.8 million – \$0.24 million).

Since all of the capitalised expenditure has already qualified for income tax relief, the tax base of this intangible asset is nil and a taxable temporary difference arises.

This temporary difference will create a deferred tax liability at 31 March 20X7 of \$912,000 (\$4.56 million $\times$ 20%) and an increase in the income tax expense of the same amount.

Tutorial note: *Candidates who compute the closing deferred tax liability relating to the intangible asset as \$912,000 (\$960,000 – \$48,000) and state that this amount is recognised as an income tax expense will be given full credit.*

(b) Email from FD

You are in danger of breaching the fundamental ethical principle of **objectivity**. You have a personal interest in reporting a favourable profit because of the possibility of a profit-related bonus. This danger is increased by the fact that your annual appraisal is carried out by the FD.

You also may be breaching the fundamental ethical principle of **professional competence and due care**. As only part qualified and only part-way through a training programme, you may well not be competent enough to make a decision on the complex transactions outlined by the FD.

You are also breaching the fundamental ethical principle of **integrity**. It is at least possible that the FD is deliberately seeking to falsify the financial statements. If you are complicit and comply with the instructions of the FD, then there is a danger that this principle will be breached.

3 Exhibit 1 – New finance

Preference shares

The relevant IFRS Accounting Standard to apply here is **IFRS 9 – Financial Instruments**. Since the preference shares are **redeemable and include an obligation for an annual dividend**, they will be treated as financial liabilities rather than equity instruments.

IFRS 9 states that the initial carrying amount of a financial liability is the **net proceeds**. In this case, the net proceeds are **\$9.5 million** (5 million $\times$ (\$2.00 – \$0.10)).

Subsequent measurement is based on **amortised cost** whether the liability is **increased by a finance cost** based on the effective interest rate (EIR) and payments are deducted.

The finance cost associated with these preference shares for the year ended 30 September 20X2 will be **\$1,178,000** (\$9.5 million $\times$ 12.4%). The finance cost will be shown as an expense in the statement of **profit or loss** for the year ended 30 September 20X2.

The dividend of **\$1 million** (5 million $\times$ \$0.20) paid to the preference shareholders on 30 September 20X2 will reduce the carrying amount of the financial liability in the statement of financial position of Delta at 30 September 20X2.

The closing carrying amount of the preference shares will be **\$9,678,000** (\$9.5 million + \$1,178,000 – \$1 million). This will be shown as a **non-current liability** in the statement of financial position of Delta at 30 September 20X2.

Bank loan

The relevant IFRS Accounting Standards to apply here are **IFRS 9 – Financial Instruments** and **IAS 21 – The Effects of Changes in Foreign Exchange Rates**.

The loan will initially be recognised in the financial statements using the rate of exchange in force on 1 October 20X1. Therefore the initial carrying amount of the loan will be **\$3 million** (12 million/4).

Since the effective rate of interest on the loan is 10% per annum, the finance cost in dinars for the year ended 30 September 20X2 will be 1.2 million dinars (12 million $\times$ 10%).

Under the principles of IAS 21, the finance cost will be translated into \$ using the average rate for the period. This means that the finance cost which will be recognised in the statement of profit or loss of Delta for the year ended 30 September 20X2 will be \$333,000 (\$1.2 million/3.6).

The closing carrying amount of the loan in dinars will be 9.42 million (12 million + 1.2 million – 3.78 million).

Under the principles of IAS 21, the loan will be recognised in the statement of financial position of Delta using **the rate of exchange in force on 30 September 20X2**. The closing amount will be **\$2,943,750** (9.42 million/3.2).

This must be split into its current and non-current elements. The total liability at 30 September 20X3 will be 6.58 million dinars (9.42 million x 1.10] – 3.78 million). Therefore, the **non-current element will be \$2,056,250** (6.58 million/3.2) and the **current element will be \$887,500** (\$2,943,750 – \$2,056,250).

The use of different exchange rates to translate the opening loan, its finance cost, and the closing loan will cause an exchange difference to arise. IAS 21 states that this exchange difference should be recognised in profit or loss.

In this case, the relevant exchange difference is a loss of \$792,000 (Working).

Working – Exchange loss on loan

	Dinars '000	Exchange rate (dinars to \$1)	\$'000
Opening balance	12,000	4	3,000
Finance cost	1,200	3.6	333
Repayment	(3,780)	3.2	(1,181)
Exchange difference (balancing figure – a loss)			792
Closing balance	9,420	3.2	2,944

Exhibit 2 – Overseas transactions

The contract to purchase 6 million groats is a derivative financial instrument because its value is determined by the exchange rate between the groat and the \$, it has no initial cost and it is due for settlement on a specified date (in this case 31 December 20X1).

IFRS 9 states that derivative financial instruments are measured at fair value in the financial statements. In this case, then, the currency contract would be recognised at its fair value of zero on 1 July 20X1.

Generally, changes in the fair value of derivative financial instruments are recognised in **profit or loss**. However, an exception applies if the derivative is designated as a hedging instrument in a contract to which hedge accounting applies.

Given that the risk which is being hedged is designated as a cash flow hedge, then cash flow hedge accounting is appropriate in this instance.

In the case of a perfectly effective cash flow hedge, the change in the value of the hedging instrument is initially recognised in other comprehensive income rather than in profit or loss. The amount so recognised is accumulated in a cash flow hedge reserve. In this case, therefore, the total amount initially recognised in other comprehensive income and accumulated in the cash flow hedge reserve in the financial statements for the year ended 30 September 20X1 will be **\$158,000**. A derivative asset was recognised (given in question).

The plant is actually purchased on 31 October 20X1 when the exchange rate (groats to \$1) was 1.85 groats to \$1. In this case, under the principles of IAS 21, the purchase of the plant will be recognised in the financial statements using **the rate of exchange in force on that date**. The initial carrying amount will therefore be **\$3,243,000** (6 million/1.85). The same amount will be credited to **trade payables**.

Between 1 October 20X1 and 31 October 20X1 the fair value of the hedging instrument increases by a further **\$85,000** (\$243,000 – \$158,000). This further increase will also be credited to other comprehensive income and accumulated in the cash flow hedge reserve which, on 31 October 20X1, will show a balance of **\$243,000** (\$158,000 + \$85,000).

Under the hedge accounting principles of IFRS 9, where a hedging arrangement results in the recognition of a non-financial asset (like an item of plant), the gains or losses on the hedging instrument from the date of the inception of the hedge to the date of recognition of the non-financial asset are adjusted against the carrying amount of that asset. Therefore, on 31 October 20X1, the adjusted carrying amount of the plant will be **\$3 million** (\$3,243,000 – \$243,000).

Under the principles of IAS 16 – *Property, Plant and Equipment* – depreciation of **\$275,000** (\$3 million x 1/10 x 11/12) will be charged to profit or loss for the year ended 30 September 20X2. The closing balance of the plant will be **\$2,725,000** (\$3 million – \$275,000). This will be shown as a **non-current asset** in the statement of financial position at 30 September 20X2.

When Delta pays for the plant on 31 December 20X1, the cash required will be **\$3,333,000** (6 million/1.80). Since the amount credited to trade payables on 31 October 20X2 was \$3,243,000, there will be an exchange loss on settlement of **\$90,000** (\$3,333,000 – \$3,243,000). This exchange loss will be recognised in **profit or loss** during the year ended 30 September 20X2.

Between 31 October 20X1 (the date of recognition of the original trade payable) and 31 December 20X1 (the date on which the liability is settled, and the derivative contract is closed out), the value of the currency derivative would have further increased by \$90,000 (\$333,000 – \$243,000).

Under the hedge accounting principles of IFRS 9, this increase would initially be recognised in other comprehensive income but reclassified to profit or loss when the hedged transaction (the payment for the plant) is recognised in the financial statements. This

occurs on 31 December 20X1, so the reclassified gain of \$90,000 exactly matches the exchange loss incurred on settlement of the trade payable.

Tutorial note: Journal entries to record the overseas transactions

<i>Date</i>	<i>Explanation</i>	<i>Balance affected</i>	<i>DR \$'000</i>	<i>CR \$'000</i>
30 September 20X1	Recognition of derivative asset at fair value on 30 September 20X1 with credit to OCI since hedge accounting applied	Derivative asset Other comprehensive income (cash flow hedge reserve)	158	158
31 October 20X1	Recognition of PPE and payable at its date of purchase using spot rate at that date	Property, plant, and equipment (PPE) Trade payables	3,243	3,243
31 October 20X1	Recognition of further increase in derivative asset since 1 October 20X1 in the cash flow hedge reserve	Derivative asset Other comprehensive income (cash flow hedge reserve)	85	85
31 October 20X1	Offsetting the balance in the cash flow hedge reserve at the date of recognition of the plant against its initial carrying amount	Cash flow hedge reserve PPE	243	243
31 December 20X1	Recognition of further increase in derivative asset from 1 November 20X1 in the cash flow hedge reserve	Derivative asset Cash flow hedge reserve	90	90
31 December 20X1	Recognition of exchange loss on trade payable from 1 November 20X1 to 31 December 20X1 (the settlement date)	Exchange loss (profit and loss) Trade payables	90	90
31 December 20X1	Settlement of trade payable at 31 December 20X1	Trade payables Cash	3,333	3,333
31 December 20X1	Settlement of derivative asset by the bank	Cash Derivative asset	333	333
31 December 20X1	Reclassification of gain on derivative asset from 1 November 20X1 to 31 December 20X1	Cash flow hedge reserve Gain on derivative (profit and loss)	90	90
30 September 20X2	Depreciation of the plant for the eleven months in which it is available for use	Depreciation expense (profit and loss) PPE	275	275

Note to candidates: The journals above would be insufficient on their own without additional explanations of the IFRS 9 accounting required.

4 Exhibit 1

What is the difference between an 'operating segment' and a 'reportable segment' as the FD seems to use both terms?

The core principle of **IFRS 8 – Operating Segments** – is that the entity should disclose information to enable users to make economic decisions based on an understanding of the types of business activities in which it engages and the economic environments in which it operates.

IFRS 8 defines an operating segment as follows. An operating segment is a component of an entity:

- that engages in business activities from which it may **earn revenues and incur expenses** (including revenues and expenses relating to transactions with other components of the same entity);
- whose operating results are reviewed regularly by the entity's **chief operating decision maker (CODM)** to make decisions about resources to be allocated to the segment and assess its performance; and
- for which **discrete financial information is available**.

IFRS 8 states that a component of an entity which sells primarily or exclusively to other operating segments of the entity meets the definition of an operating segment if the entity is managed that way.

IFRS 8 requires an entity to report financial and descriptive information about its reportable segments. Reportable segments are operating segments which meet **any one** of the specified thresholds:

- the reported revenue, from both external customers and intersegment sales or transfers, is 10% or more of the combined revenue, internal and external, of all operating segments; **or**
- the absolute measure of its reported profit or loss is 10% or more of the greater, in absolute amount, of (i) the combined reported profit of all operating segments that did not report a loss, and (ii) the combined reported loss of all operating segments that reported a loss; **or**
- its assets are 10% or more of the combined assets of all operating segments.

If the total external revenue reported by operating segments constitutes less than 75% of the entity's revenue, additional operating segments must be identified as reportable segments until at least 75% of the entity's revenue is included in reportable segments.

Would I, or the board collectively, be considered to be a chief operating decision maker and what impact does this role have on a segment report?

IFRS 8 requires operating segments to be identified on the basis **of internal reports about components of the entity**. The relevant components would be those which are regularly reviewed by the chief operating decision maker in order to allocate resources and to assess performance.

The chief operating decision maker is a **function** rather than a person and therefore may comprise a group of people, such as the executive board.

As you are a board member and the board reviews the performance of the segments and allocates resources, you would be considered a chief operating decision maker as part of the board as a whole.

Which segments would we need to report? Please explain and justify with any necessary calculations (made to one decimal point).

Region	External revenue \$'000	Internal revenue \$'000	% of total revenue	Profit \$'000	% of profit	Assets \$'000	% of assets
Americas	2,010	1,020	71.1%	Not required as met revenue threshold			
Asia Pacific	315	90	9.5%	86	17.9%	Not required as met profit threshold	
Australia	415	0	9.7%	47	9.8%	300	3.0%
Europe	405	5	9.6%	2	0.4%	900	9.0%
Total	3,145	1,115		480		10,000	

Americas meets the 10% revenue threshold and is therefore reportable. It only has to meet one threshold.

Although Asia Pacific does not meet the revenue test, it does meet the 10% profit threshold and is therefore also reportable.

Australia and Europe do not individually meet any of the tests as each of their revenue, profit and assets figures are below 10% of the total.

However, the current reportable segments constitute \$2,325,000 (\$2,010,000 + \$315,000) in external revenue which is less than 75% of the company's external revenue of \$3,145,000 (73.9%), thus additional operating segments must be identified until 75% of the entity's revenue is included in reportable segments.

Either of the remaining segments would individually ensure that Zeta meets this 75% test if they were included in the reported segments.

The segment which is not reported will be presented as 'all other segments' to ensure reconciliation to the financial statements.

Exhibit 2

Describe the scope and objectives of the general disclosures required by IFRS S2 Climate-related Disclosures

The objective of **IFRS S2 – Climate-related Disclosures** – is for an entity to disclose information about its climate-related risks and opportunities which is useful to primary users of general purpose financial reports in making decisions relating to providing resources to the entity. These are the risks and opportunities which could reasonably affect the entity's prospects.

IFRS S2 requires disclosure of the climate-related risks to which an entity is exposed as well as climate-related opportunities available to the entity. These risks can be categorised into those which are physical risks and those which are transition risks.

Physical risks are those which are driven by events or arise as a result of long-term shifts in climatic patterns.

Transition risks are those arising from a move towards a lower-carbon economy.

Those risks and opportunities which are unlikely to affect an entity's prospects are outside the scope of the Standard.

Explain the usefulness to external users of the financial statements of disclosing climate-related risks and opportunities.

Disclosing climate-related risks and opportunities will enable users of the financial statements to understand the **governance framework** used by an entity to monitor, manage and oversee such risks and opportunities.

The disclosure will also improve users' understanding of the **strategy** the entity is adopting to manage the risks and opportunities.

Furthermore, users will be able to understand how the climate-related risks and opportunities are integrated into the entity's overall **risk management process**.

Finally disclosure of **metrics and targets**, will enable users to understand the performance of an entity in relation to its climate-related risks and opportunities and whether targets are being met, whether set internally or by law or regulation.

Exhibit 3

Can you please explain how these errors will affect the financial statements of Epsilon for 31 March 20X5 and the figures for the comparative years?

Per **IAS 8 – Accounting Policies, Changes in Accounting Estimates and Errors** – a material prior period error should be corrected **retrospectively**. Retrospective restatement means correcting the recognition, measurement and disclosure of amounts as if the error had never occurred.

If it is **impracticable** to determine the cumulative effect, changes will be made prospectively.

For Epsilon, this means that the comparative amounts for the prior periods need to be restated. **At 31 March 20X4, closing inventory was overstated** by \$300,000, therefore, cost of sales for that year was understated and profit was overstated by \$300,000. The **impact on the year ended 31 March 20X5** is that opening inventory is overstated by \$300,000 and so cost of sales is overstated and profit is understated.

Financial statements are required to include **comparatives** (IAS 1 *Presentation of Financial Statements*) and so both the 20X4 figures and the 20X5 figures will need to be amended in the 20X5 financial statements. The financial statements of 20X4 should therefore be restated to show the correct amount as if the error (incorrect inventory valuation) had never happened at all.

The adjustment is reflected in the **comparatives for 20X4** (included in the 20X5 financial statements), and this will therefore correct the carried forward retained earnings at the end of that year.

The omission of depreciation of the office building in the previous year's financial statements represents a prior period accounting error which must be accounted for retrospectively in the financial statements. Consequently, Epsilon must adjust all comparative amounts presented in the current period's financial statements affected by the accounting error.

The depreciation which was not charged in the prior year profit or loss will be adjusted for in opening retained earnings for the 20X5 financial statements.

It will therefore not affect the current year profit or loss.

Can you explain why this might be different to how we dealt with a change in the estimated useful life for equipment in Zeta's financial statements last year?

A change in depreciation method represents a change in accounting estimate as it involves measurement uncertainty. IAS 8 states that reasonable estimates do not undermine the reliability of financial statements.

This is an adjustment of the carrying amount of the property, plant and equipment (PPE) after assessing new information on the useful life of the PPE.

Such changes in accounting estimates are only applied prospectively and so will only affect the financial statements from the date of change. Therefore no adjusting restatement of opening balances was required.

Epsilon should disclose the nature and amount of a change in an accounting estimate which has affected the financial statements for the year ended 31 March 20X5.

	<i>Marks</i>
1 Consolidated statement of financial position	
Non-current assets	
– Property, plant and equipment	1
– Goodwill	3
– Investment in Gamma	3
– Investment in equity instruments	0.5
Current assets	
– Inventories	3
– Trade receivables	1
– Cash and cash equivalents	0.5
Equity	
– Share capital	0.5
– Retained earnings	
o Acquisition costs	1
o Post acquisition share of Beta	2
o Share of Gamma	0.5
o Unrealised profit adjustment	1
o Inventories adjustments	1
– Other components of equity	2
– Non-controlling interest	2
Non-current liabilities	
– Long term borrowings	0.5
– Deferred tax	1
Current liabilities	
– Trade and other payables	1
– Current tax payable	0.5
	25
2 (a) Exhibit 2	
– Property 1	
– Explanations per IAS 16	4
– Explanations per IAS 12	3
– Calculations	2
– Property 2	
o Explanations per IAS 40	1.5
o Explanations per IAS 12	1.5
o Calculations	2
Exhibit 3	
– Explanations per IAS 38	3
– Explanations per IAS 12	1
– Calculations	2
	20
(b) Ethics	5
	25

	<i>Marks</i>
3 Exhibit 1	
– Issue of preference shares	
o Explanation per IFRS 9	3
o Calculations	2
– Foreign currency borrowings	
o Explanation per IAS 21	3
o Calculations	5
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 Exhibit 2	
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